TEACHER GUIDE

Pearson Edexcel International Advanced Level in Business (XBS11 / YBS11)

Internal and external finance

Unit 2: Managing business activities
2.3.1 Planning a business and raising finance



A revision lesson. Pupils run a car dealership in firms of four and revise internal and external finance on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

1 Total to pay back

Round 1

Same interest every year.

Total to pay back?

Loan	**£45,500**
Interest, each year	**3%**
Repaid over	**3 years**

ANSWER

£49,595

£45,500 + 3 × £1,365 = £49,595

Why: The loan costs £4,095 in interest.

2 Drawbacks of shares

Round 1

You plan to sell shares to pay for a second site.

Which two are drawbacks for the owners?

- **A** The money must be repaid
- **B** Interest to pay each month
- **C** Profit shared out as dividends
- **D** Less control of the firm
- **E** It raises the firm's gearing

ANSWER

✓ Profit shared out as dividends
✓ Less control of the firm

Why: New owners share control and profit; equity has no interest or repayment.

3 Rank total interest

Round 2

Three loans, simple interest.

Order by total interest, cheapest first?

- **A** £15,000 at 10% for 2 years
- **B** £20,000 at 6% for 3 years
- **C** £30,000 at 4% for 2 years

ANSWER

1. **£30,000 at 4% for 2 years**
2. **£15,000 at 10% for 2 years**
3. **£20,000 at 6% for 3 years**

Why: Interest: £2,400, £3,000, £3,600.

Topic tasks

4 Loan or shares

Round 2

Loan or new shares?

Dividends minus loan interest, a year?

Money needed	**£60,000**
Loan interest, each year	**9%**
Shares sold	**500 shares**
Dividend per share	**£20**

ANSWER

£4,600

500 × £20 − 9% × £60,000 = £4,600

Why: The shares cost £4,600 more each year.

5 Buy or lease

Round 3

You need £25,000 of diagnostic kit for two years only.

How should you get it, and why?

A Lease it

B Buy it with a loan

ANSWER

✔ **Lease it**

Why: Leasing avoids a big outlay for an asset you need only for a while.

6 Loan cost with fee

Round 3

Loan with a set-up fee.

Yearly cost with the fee, as a % of the loan?

Loan	**£26,000**
Interest, each year	**8%**
Arrangement fee	**£2,080**
Repaid over	**4 years**

ANSWER

10%

£2,080 ÷ 4 ÷ £26,000 = 2%; 8% + 2% = 10%

Why: The fee adds 2% a year to the rate.

Final questions

Each pupil answers 6 final questions on internal and external finance. They come from these 9 questions.

Then each pupil writes one short answer: “Evaluate retained profit as a source of finance.”

1 A new used-car retailer needs £80,000 for stock; its owner wants full voting control. Which source fits best?

✔ **A secured bank loan, if repayments can be met**

2 A workshop needs a vehicle lift for five years, with predictable payments and no obsolete asset to own afterwards. Which finance fits?

✔ **A lease matching the term and expected use**

3 A growing parts supplier has sound credit customers but cannot wait 60 days for payment. What is a relevant benefit and cost of factoring?

✔ **Cash arrives sooner, but fees cut margin**

4 The CFO must finance long-lived workshop equipment but keep overdraft capacity free for daily needs. Strongest principle?

✔ **Fund long-term assets with long-term finance**

5 A dealer needs £20,000 for six weeks between buying stock and selling it. Which source of finance fits best?

✔ **A bank overdraft**

6 A £60,000 loan is repaid over five years at £1,250 a month. What is the total interest paid?

✔ **£15,000**

7 An investor offers £150,000 for 30% of a dealership’s shares. What value does this put on the whole business?

✔ **£500,000**

8 A profitable dealer buys a new ramp from last year’s profits rather than borrowing. What is the main advantage?

✔ **No interest to pay and no loss of control**

9 A parts supplier lets the dealer pay for a delivery 30 days after receiving it. Which source of finance is this?

✔ **Trade credit**